ILLUSTRATIVE ANONYMIZED CASE — not a real company

Wheat purchase hedge — H1 2026

CBOT Soft Red Winter (ZW) | Decision date 30 Jun 2025

Illustrative anonymized case for CommoHedge | Treasury / procurement memo

Subject	Northbridge Bakery Group (fictional)
Exposure	~50,000 t/yr soft wheat (~153,099 bu/month)
Question	If hedges were set in Jun 2025 for H1 2026, what would the bill look like?

READ THIS FIRST
This document is a worked example. The company name and volumes are fictional, scaled to a mid-size US commercial bakery. Prices are public CBOT SRW data. It is not advice, not an offer, and not a description of any real hedge book.

1. Why a flour buyer hedges wheat

A bakery that buys soft-wheat flour carries CBOT SRW risk whenever contracts or mill quotes track Chicago. Between budget season and delivery, the curve can move enough to erase a thin food-manufacturing margin.

The practical question on 30 June 2025 was not "will wheat go up?" It was: how much of H1 2026 purchases should we lock, insure, or leave open — and at what cost?

- Swap / forward strip: lock a purchase price from the June 2025 curve.
- Call 105%: pay a premium; keep the right to benefit if prices fall.
- Collar 95/105: same call, sell a 95% put to cut the net premium.
- Zero-cost collar: same call; solve the put so net premium is about zero.

2. Profile and volumes (fictional)

Northbridge Bakery Group is a placeholder for a Midwest commercial bakery that buys soft-wheat flour. Soft Red Winter is the relevant Chicago contract for cake, cookie and pastry flour — not durum.

Item	Assumption
Company	Northbridge Bakery Group (illustrative)
Sector	Commercial bakery / soft-wheat flour buyer
Annual wheat-equivalent	50,000 tonnes
Annual bushels	1,837,188 bu
Monthly purchase (H1)	153,099 bu
Benchmark	CBOT Soft Red Winter (ZW)
Basis	Local flour basis not modeled (stated as residual risk)

Fictional scale (~50 kt wheat-eq/year) consistent with mid-size US commercial bakery flour usage ranges — not from any company filing.

3. June 2025 decision — forward strip

On 30 June 2025 the front CBOT SRW continuous settle was 528.75 c/bu. The Dec'26 contract settled at 624.50 c/bu (Yahoo Finance). Individual Mar/May/Jul'26 history was not available on free feeds, so the H1 2026 strip used here is a linear interpolation between those two anchors — enough to show a real decision process, not a dealer quote sheet.

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Purchase month	Forward (Jun-2025 strip)	Realized H1-2026 avg	Gap
Jan	$5.6536/bu	$5.1849/bu	-0.4687
Feb	$5.7099/bu	$5.4880/bu	-0.2219
Mar	$5.7663/bu	$5.9512/bu	+0.1849
Apr	$5.8226/bu	$6.0139/bu	+0.1913
May	$5.8789/bu	$6.3496/bu	+0.4707
Jun	$5.9352/bu	$5.8961/bu	-0.0391

Strip average (option reference): $5.7944/bu. Call 105% = $6.0841/bu. Collar put 95% = $5.5047/bu. Hist. vol from H1 monthly moves: 21.2%.

HOW TO READ THE GAP
Positive gap = market finished above the June forward (swap would have helped a buyer). Negative gap = market was cheaper than the lock (swap opportunity cost).

4. Strategies compared

All three option structures share the same call strike (105% of the June strip average). Only the put leg changes.

Strategy	What you lock	Upfront cost	Downside if prices fall
Forward strip	Monthly forward from Jun-2025 curve	None (margin)	Miss cheaper market on hedged %
Call 105%	Protection above call strike	Call premium	Lose premium only
Collar 95/105	Same call + sell put at 95%	Net premium (lower)	Owe put if below 95%
Zero-cost collar	Same call + put solved for ~0 prem	~0	Put usually tighter than 95%

5. Results at 50% coverage

Hedged volume each month: 76,550 bu (50% of 153,099). Hedge benefit = cost with hedge minus unhedged cost. Positive = hedge improved the purchase bill.

Metric	Amount (H1)
Unhedged wheat cost	-$5,340,661
Hedge benefit — Forward strip 50%	$8,974
Hedge benefit — Call 105% 50%	-$164,081
Hedge benefit — Collar 95/105 50%	-$89,202
Hedge benefit — Zero-cost collar 50%	-$70,243
Call premiums paid	$184,403
Call payoffs received	$20,321
Collar 95/105 net premiums	$83,766
Collar 95/105 net payoffs	-$5,436
ZC collar net premiums (~0)	$0
ZC collar net payoffs	-$70,243

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Month-by-month hedge benefit (50%)

Month	Market	Forward	Swap	Call105	Collar95/105	ZC
Jan	$5.1849/bu	$5.6536/bu	-$36k	-$24k	-$35k	-$50k
Feb	$5.4880/bu	$5.7099/bu	-$17k	-$27k	-$13k	-$30k
Mar	$5.9512/bu	$5.7663/bu	$14k	-$30k	-$13k	$0
Apr	$6.0139/bu	$5.8226/bu	$15k	-$32k	-$15k	-$0
May	$6.3496/bu	$5.8789/bu	$36k	-$14k	$4k	$20k
Jun	$5.8961/bu	$5.9352/bu	-$3k	-$37k	-$18k	-$11k

6. Coverage matrix (0% / 25% / 50% / 75% / 100%)

Same structures; only the share of monthly volume hedged changes. Benefit scales roughly linearly with coverage on this path.

Hedge benefit by coverage

Strategy	0%	25%	50%	75%	100%
Forward strip	$0	$4k	$9k	$13k	$18k
Call 105%	$0	-$82k	-$164k	-$246k	-$328k
Collar 95%/105%	$0	-$45k	-$89k	-$134k	-$178k
Zero-cost collar	$0	-$35k	-$70k	-$105k	-$140k

Option premiums paid (cash on hedged volume)

Strategy	0%	25%	50%	75%	100%
Call 105%	$0	$92k	$184k	$277k	$369k
Collar 95%/105%	$0	$42k	$84k	$126k	$168k
Zero-cost collar	$0	$0	$0	$0	$0

Option payoffs received

Strategy	0%	25%	50%	75%	100%
Call 105%	$0	$10k	$20k	$30k	$41k
Collar 95%/105%	$0	-$3k	-$5k	-$8k	-$11k
Zero-cost collar	$0	-$35k	-$70k	-$105k	-$140k

7. Zero-cost collar — put strike by month

Call fixed at 105% of the June strip average. For each month's maturity (priced on 30 Jun 2025), the put strike is solved so put premium = call premium. Net premium "H 0. The put moves each month because time to

Month	Market	Call	Put (ZC)	Put % ref	Call prem	Put prem	Net
Jan	$5.1849/bu	$6.0841/bu	$5.8352/bu	100.7%	0.3200	0.3200	0.000000
Feb	$5.4880/bu	$6.0841/bu	$5.8741/bu	101.4%	0.3522	0.3522	0.000000

Month	Market	Call	Put (ZC)	Put % ref	Call prem	Put prem	Net
Mar	$5.9512/bu	$6.0841/bu	$5.9171/bu	102.1%	0.3865	0.3865	-0.000000
Apr	$6.0139/bu	$6.0841/bu	$5.9586/bu	102.8%	0.4186	0.4186	0.000000
May	$6.3496/bu	$6.0841/bu	$6.0014/bu	103.6%	0.4507	0.4507	0.000000
Jun	$5.8961/bu	$6.0841/bu	$6.0428/bu	104.3%	0.4809	0.4809	-0.000000

8. What CommoHedge does in this workflow

The point of the example is the process, not a single "winning" trade.

- Capture exposure: monthly wheat volume, unit, currency, purchase window.
- Price the curve: load CBOT SRW forwards as of the decision date.
- Build structures: swap, call, collar, zero-cost collar with shared strikes.
- Stress coverage: 0–100% matrix so finance and procurement can pick a policy band.
- Explain P&L: separate premium, payoff and hedge benefit — no black box.

> **PRODUCT FIT**
> CommoHedge Strategy Builder and Zero-Cost Strategies use the same Black-76 engine as this memo. A treasury team can reproduce the collar solve, change coverage, and export a board-ready view without rebuilding spreadsheets each quarter.

9. Limits and residual risks

- Flour vs futures: physical flour includes milling and basis; this memo hedges the CBOT SRW leg only.
- Strip construction: H1 deferreds are interpolated from front and Dec'26 settles when free historical quotes for H/K/N26 were unavailable.
- Options priced once on 30 Jun 2025 for each maturity; no dynamic rebalancing.
- No credit, margin or liquidity costs modeled.
- Illustrative volumes — not taken from any company disclosure.

Sources: Yahoo Finance CBOT SRW (ZW=F daily; ZWZ26.CBT 30 Jun 2025 settle). Pricing: CommoHedge Black-76 / Zero-Cost Strategies logic.

10. Bottom line

On this path, H1 2026 CBOT SRW averaged above the early-strip months and below some later locks in places — the forward strip at 50% coverage delivered a hedge benefit of $9k. Call 105% and the collars share the same upside strike; they differ mainly by premium paid and put obligation. Coverage choice (25–75%) usually matters as much as structure choice.

Use the matrix to set a policy. Use CommoHedge to price and compare before the curve moves again.

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